

Financial Analysis & Investment Summary

Apple Inc. (NASDAQ:AAPL)

Prepared by

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Apple Inc. Income Statement			
Figures in USD millions unless otherwise noted			
Line Item	2023	2024	2025
Net Sales	\$ 383,285	\$ 391,035	\$ 416,161
Cost of Sales	\$ 214,137	\$ 210,352	\$ 220,960
Gross Profit	\$ 169,148	\$ 180,683	\$ 195,201
Operating Expenses	\$ 54,847	\$ 57,467	\$ 62,151
Operating Income	\$ 114,301	\$ 123,216	\$ 133,050
Other Income(Expense), Net	\$ (565)	\$ 269	\$ (321)
Income before taxes	\$ 113,736	\$ 123,485	\$ 132,729
Net Income	\$ 96,995	\$ 93,736	\$ 112,010
Earnings Per Share(Diluted)	\$ 6	\$ 6	\$ 7

Apple Inc. - Balance Sheet			
Figures in USD millions unless otherwise noted			
Line Item	2023	2024	2025
Cash and Cash Equivalents	29,965	\$ 29,943	\$ 35,934
Marketable Securities	31,590	\$ 35,228	\$ 18,763
Accounts Receivable	29,508	\$ 33,410	\$ 39,777
Inventory	6,331	\$ 7,286	\$ 5,718
Total Current Assets	143,566	\$ 152,987	\$ 147,957
Property, Plant & Equipment	43,715	\$ 45,680	\$ 49,834
Total Assets	352,583	\$ 364,980	\$ 359,241
Accounts Payable	62,611	\$ 68,960	\$ 69,860
Total Current Liabilities	145,308	\$ 176,392	\$ 165,631
Long-Term Debt	95,281	\$ 85,750	\$ 78,328
Total Liabilities	290,437	\$ 308,030	\$ 285,508
Shareholders' Equity	62,146	\$ 56,950	\$ 73,733

Apple Inc. - Cash Flow Statement			
Figures in USD millions unless otherwise noted			
Line Item	2023	2024	2025
Net Cash from Operating Activities	\$ 110,543	\$ 118,254	\$ 111,482
Capital Expenditures	\$ 10,959	\$ 9,447	\$ 12,715
Net Cash from Investing Activities	\$ 3,705	\$ 2,935	\$ 15,195
Net Cash from Financing Activities	\$ (108,488)	\$ (121,983)	\$ (120,686)
Net Increase(Decrease) in Cash	\$ 5,760	\$ (794)	\$ 5,991
Ending Cash Balance	\$ 30,737	\$ 29,943	\$ 35,934

Apple Inc. - Ratio Analysis			
Figures in USD millions unless otherwise noted			
Metric	2023	2024	2025
Profitability Analysis			
Gross Margin	44.1%	46.2%	46.9%
Operating Margin	29.8%	31.5%	32.0%
Net Profit Margin	25.3%	24.0%	26.9%
Return on Assets(ROA)	27.5%	25.7%	31.2%
Return on Equity(ROE)	156.1%	164.6%	151.9%
Liquidity Analysis			
Current Ratio	0.99	0.87	0.89
Quick Ratio	0.63	0.56	0.57
Leverage Analysis			
Debt-to-Equity Ratio	4.67	5.41	3.87
Debt Ratio	0.82	0.84	0.79
Efficiency Analysis			
Asset Turnover	1.09	1.07	1.16
Growth Analysis			
Revenue Growth	-	2.0%	6.4%
Net Income Growth	-	-3%	19%

Revenue and Profitability			
Metric	2023	2024	2025
Net Sales	\$ 383,285	\$ 391,035	\$ 416,161
Gross Profit	\$ 169,148	\$ 180,683	\$ 195,201
Operating Income	\$ 114,301	\$ 123,216	\$ 133,050
Net Income	\$ 96,995	\$ 93,736	\$ 112,010
Margins			
Metric	2023	2024	2025
Gross Margin	44.1%	46.2%	46.9%
Operating Margin	29.8%	31.5%	32.0%
Net Profit Margin	25.3%	24.0%	26.9%
Cash Flow			
Metric	2023	2024	2025
Operating Cash Flow	\$ 110,543	\$ 118,254	\$ 111,482
Investing Cash Flow	\$ 3,705	\$ 2,935	\$ 15,195
Financing Cash Flow	\$ (108,488)	\$ (121,983)	\$ (120,686)
Key Ratios			
Metric	2023	2024	2025
Current Ratio	0.99	0.87	0.89
Debt-to-Equity	4.67	5.41	3.87
ROA	27.5%	25.7%	31.2%
ROE	156.1%	164.6%	151.9%

Apple Inc. Financial Analysis Dashboard



Apple Inc. Investment Summary							
Financial Analysis(2023-2025)							
Company Overview		Financial Performance		Profitability Analysis			
Apple Inc. is a global technology company that designs, manufactures, and sells consumer electronics, software, and services. The company generates revenue through products like the iPhone, Mac, iPad, and its services ecosystem		Apple demonstrated strong financial performance, jumping from a decrease in years 2023 from \$96,995 to \$93,736 in 2024 to a staggering \$112,010 in 2025. The company uses this to fund operations, investments, and stakeholder returns through dividends and share repurchases		Apple maintained overall strong profitability, while having the net margin decrease from 2023's 25.3% to 24.0% it jumped back to 26.9% in 2025. The gross margin has steadily increased through the years 2023-2025 demonstrating strong profitability. The return on assets and return on equity showed similar behavior as the net margin, decreasing in 2024 and rising in 2025, however the return on equity remains at an exceptionally strong level, showing Apple continued generating significant returns for stakeholders. Therefore the decline is negligible compared to Apple's relative return on equity strength			

Cash Flow Analysis		Liquidity & Leverage Analysis		Investment strengths			
Apple generated strong operating cash flow throughout the analysis period, with operating cash flow in 2024 at over \$118,254 demonstrating the exceptional standing of the company. Operating activities activities were the biggest source of income for the company, supporting company areas like investments, debt financing and more. Investing activities showed a continued investment in assets and expansion of Apple's investment portfolio. Financing activities for Apple remained negative due to repurchases of common stock of \$90,711 and \$15.4 in dividends. The outflow shows Apple's strategy of returning excess cash to investors		Apple's liquidity position remained relatively stable with a current ratio of 0.99. The current ratio is below 1.0 which indicates an issue however with the company's strong operating cash flow and profitability it should few issues meeting short-term obligations. Apple additionally uses debt as part of its capital structure however its strong earnings and cash position help mitigate the associated financial risk.		Apple is shown to demonstrate several key investment strengths, some of which being strong profitability, consistent cash generation, and a competitive business model. The company's strong growth margins and exceptional return on equity show efficient operations. The brand of Apple additionally allows it to maintain customer loyalty and be provided a source of recurring revenue. The company's ability to generate exceptional cash flow allows it to grow while returning capital to shareholders in dividends and share repurchases.			

Investment risks		Investment conclusion				
Despite Apple's strong financial position, the company faces several issues this is because a significant amount of the company's income comes from sales outside of the U.S, therefore there is economic uncertainty, inflation, currency fluctuations, and geopolitical disruptions leading to potential reduction in consumer demand and increasing operating costs which could heavily impact the stock value. The second risk factor is that Apple operates in an extremely competitive market where technological advancements occur frequently, potentially pressuring Apple's market share and profit margins if it is unable to keep up. Overall, the company's ability to maintain competitive advantage depends upon continuing customer loyalty, investment in research and development and continuous product innovation		Overall, Apple demonstrates strong financial health through consistent profitability and strong cash flow generation. The company continues to produce significant returns for shareholders proven by exceptionally high return on equity, strong margin, and a loyal consumer base. The company faces numerous risks such as economic uncertainty in international sales, a significant portion of its profit, a highly competitive market, and global supply chain exposure. However with its current financial strength it has a good foundation for long-term stability and growth				

References

Company filings

Apple Inc.(2023-2025). Annual report (Form 10-K). U.S. Securities and Exchange Comission.

Investor relations

Apple Inc. Investor Relations. Financial Statements, Annual Reports, and SEC filings.

Financial Data

Financial ratios and cash flow analysis calculated by the author using Apple's published financial statements(2023-2022